McKinsey & Company

Auto Financing Strategy

Workshop #1

06th June 2025

EUROBANK

Project approach and timeline

Focus of today

Initiated work, focus on following OpcO

	3 weeks	3 weeks	2 week
	Market insights and idea generation	**Concept testing and impact evaluation**	**Strategy fine-tuning and implementation plan definition**
Key Activities	**Assessment** of product solutions space **Assessment** of **Greek market** and **competitive landscape** **Evaluation** of **value** at **stake** **Identification/fine-tuning** of **value creation opportunities,** and definition of business model and value proposition **Assessment** of **best-practice** **Evaluation** of **possible design options** **Preliminary assessment** of **ops. capabilities** required		• **Fine-tuning** of **where to play** and **how** to **win strategy** • **Fine-tuning of business case** and value-at-stake • **Development** of detailed **implementation roadmap** and **scale-up plan**
Approach	• **1 on 1 interviews with all Eurobank stakeholders** involved within the first week of the project • **2-3 interviews with auto dealers** to understand Eurobank's positioning on car financing within dealer network • **Workshop** (incl. market insights, benchmark) **per idea generation with key stakeholders –** to be scheduled in the week of June 2nd	• **War-room with cross-functional** teams to detail design identified initiatives • **A/B testing with selected clients/ on-site visits** at dealerships to test ideas and gather real-world insights	
Deliverables	• **Where to play** • Preliminary **value at stake** • **Design options** for **how to win**	• **How to win** for **prioritized initiatives** • **Evaluation** of **potential alternatives** for **how** to **execute**	• **Comprehensive business strategy** with **where** to **play, how** to **win** and **how to execute**
	1st steering Committee	2nd steering Committee	3rd steering Committee

Agenda

Greek auto finance market sizing

Retail auto finance product offerings

Greek auto finance market sizing | Key learnings

1. **Used car retail sales are twice as high as new car sales in volume** (~135k used cars vs. ~62k new cars), but total financing is higher for new cars (493M€ used cars vs. 326M€ new cars)

2. **Retail financing penetration remains low in Greece compared to G5 benchmarks**, both for new cars (33% vs. 66%) and used cars (19% vs. 39%), indicating significant headroom for growth

3. **Operating leasing is a highly profitable product and already accounts for ~20% of Retail RAR**, emerging as potential meaningful contributor for Eurobank growth

4. **Corporate customers account for a large share of total RAR** (~65%), raising strategic questions around Eurobank's ability to better address and capture value in this space.

5. **Additional potential exists on B2B financing** (e.g., financing to LeasCo, RACs)that it is not currently captured on the market sizing exercise

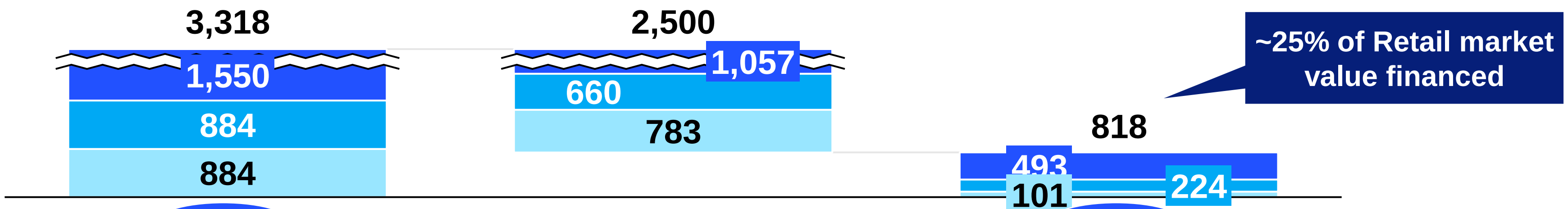
PRELIMINARY

Greek auto finance market sizing | Overview per segment

Car market value[1], M€

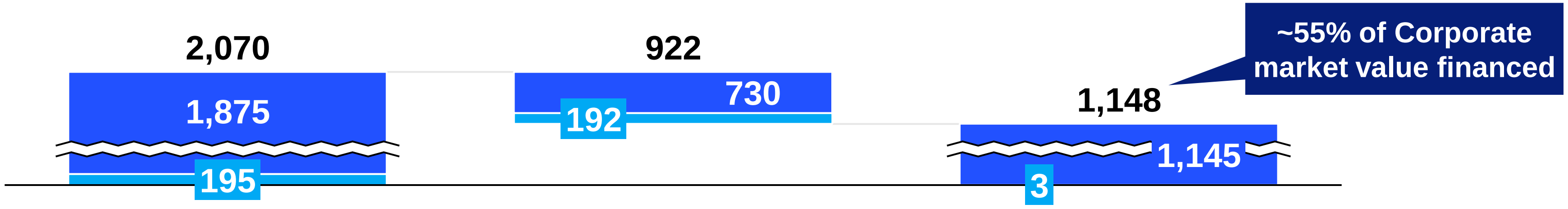
xx # Cars · New Auto · Used Auto B2C · Used Auto C2C

Retail *(detailed next)*



	Total market	Unfinanced market	Financed market
New Auto	~62k		~30k
Used Auto B2C	~68k		~25k
New Auto C2C	~67k		~20k
Total Retail	~197k		~75k

Corporate



	Total market	Unfinanced market	Financed market
New Auto	~75k		~46k
Used Auto B2C	~15k		~1k
Total Corporate	~90k		~47k

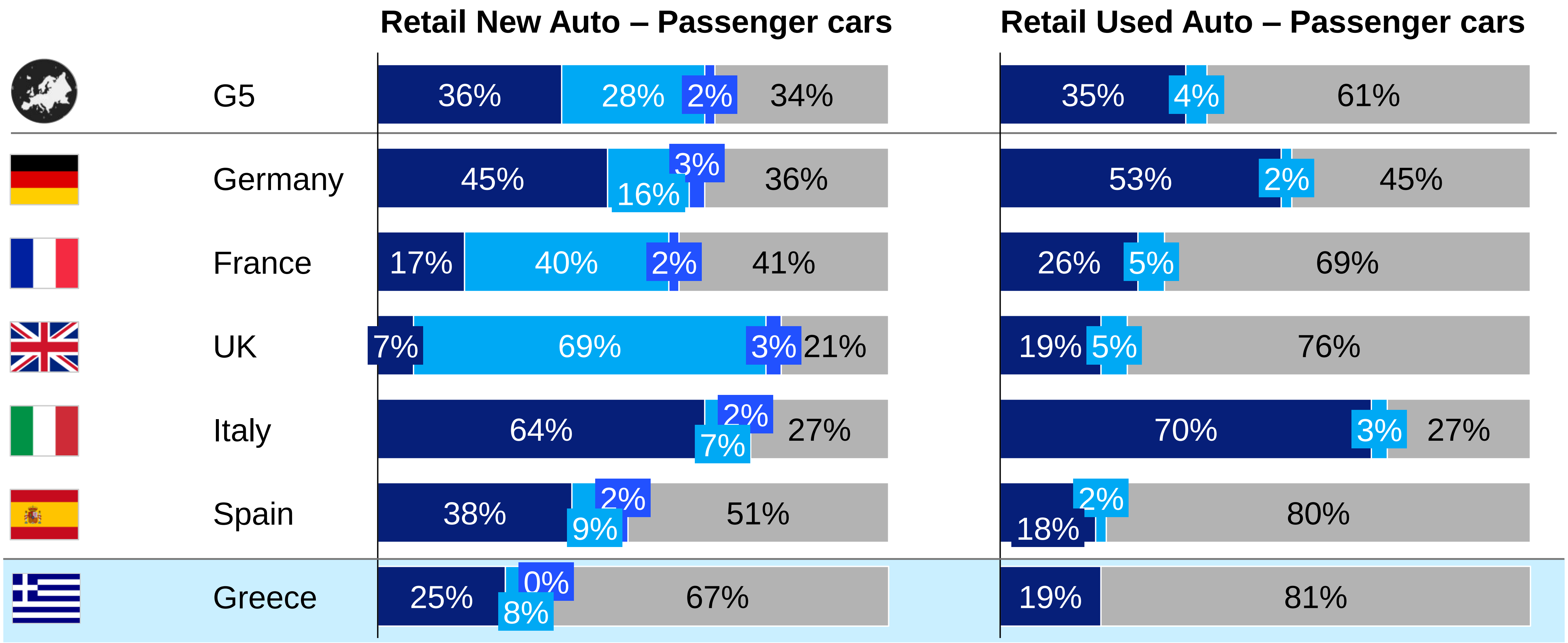
1. For New (Used) Auto: Average loan amount of 15,000€ (8,500€), average interest margin of 4.9% (7.7%), average loan duration of 4.5y, full potential of 5y loan stock, linear depreciation; base leasing of 1,500€ (750€) for 3-year contract, additional 1,500€ (1,500€) for services, average lease duration of 3y, full potential of 3y leasing stock

Greek auto finance market sizing | Penetration of core retail financing products in Greece vs. Europe

Retail products only

Loan financing[1] | Leasing | Subscription | Cash

Penetration rate for passenger cars in Europe in 2023 (Greece in 2024) by financing product, %



1. For Eurobank, it includes also cash loan used for Auto

Source: Internal McKinsey model

PRELIMINARY

Greek auto finance market sizing | Overview of 2024 car market by segment

Breakdown of 2024 car sold per segment and product offering

~287k cars (**137k** new and **150k** used)

- **Retail** (69%): **~197k** cars
  - **New Auto** (31%): **~62k** cars
  - **Used Auto[1]** (69%): **~135k** cars
- **Corporate** (31%): **~90k** cars
  - **New Auto[2]** (83%): **~75k** cars
  - **Used Auto[3]** (17%): **~15k** cars

	Retail – New Auto: B2C	Retail – Used Auto: B2C	Retail – Used Auto: C2C	Corporate – New Auto: LeaseCo	Corporate – New Auto: RAC	Corporate – New Auto: Direct Corp	Corporate – Used Auto: RAC	Corporate – Used Auto: Direct Corp
Cars	~62k cars	~68k cars	~68k cars	~45k cars	~26k cars	~4k cars	~14k cars	~2k cars
% cars financed	~50% financed	~35% financed	~30% financed	~100% financed	N/A	~20% financed	N/A	~20% financed
Auto loan	~25k cars	~21k cars	-	-	-	<1k cars	-	<1k cars
Cash loan	-	~3k cars	~20k cars	-	-	-	-	-
Financial lease	-	-	-	~5k cars	-	<1k cars	-	<1k cars
Operating lease	~5k cars	~1k cars	-	~41k cars	-			

Official data: **~175k** operating lease fleet in 2023 (assumed **3.5-year** avg. contracts)

1. Retail Used Auto: 50% B2C, 50% C2C; 2. Corporate New Auto: 60% LeaseCo, 35% RAC, 5% Direct Corp, 3. Corporate Used Auto: 90% RAC, 10% Direct Corp

Key insights

Greece had ~287k cars sold in 2024, with **~197k** from Retail (**~70%**) and **~90k** from Corporate (**~30%**)

- **Retail:** Used Auto sales are twice as many as new ones (**~135k** vs. **~62k**), with dealers being the dominant channel (**>70%** of total car sold), though **~50%** of used car sales occur on C2C
- **Corporate:** Segment mainly driven by new car sold (**~80%**), mainly through LeaseCos and RACs, which account for **~95%** of corporate volumes, while direct sales to corporates is residual

Greece has a **car retail financing** penetration of **~35%**

- **New Auto: ~50%** financed, mostly via autoloans (~80%), with operating leasing gaining traction (~20%)
- **Used Auto: ~30-35%** financed, evenly split between autoloans and cash loans, with the latter mainly used for C2C transactions

Operational leasing is highly penetrated within the **Corporate segment** (**>85% of financing**); residual volumes financed through direct corporate autoloans

Greek auto finance market sizing | Overview of 2024 car market value by segment

PRELIMINARY

Breakdown of 2024 contract value[1] per segment and product offering

~5.3B€ contract value

	Retail (62%) ~3.3B€			Corporate (38%) ~2.0B€				
	New Auto (45%) ~1.5B€	Used Auto[2] (5%) ~1.7B€		New Auto[3] (95%) ~1.9B€			Used Auto[4] (5%) ~0.1B€	
	B2C	B2C	C2C	LeaseCo	RAC	Direct Corp	RAC	Direct Corp
% value financed	~32% financed	~25% financed	~11% financed	~60% financed	N/A	~2% financed	N/A	~2% financed
	~493 M€	~224 M€	~101 M€	~1,130 M€	N/A	~15 M€	N/A	~3 M€
Auto loan	~370M€	~199M€	-	-	-	~6M€	-	~1M€
Cash loan	-	~17M€	~101M€	-	-	-	-	-
Financial lease	-	-	-	~113M€	-	~9M€	-	~2M€
Operating lease	~123M€	~9M€	-	~1,017M€	-	-	-	-

1. Average loan amount of 15,000€ for New Auto and 9,500€ for Used Auto; 2. Retail Used Auto: 50% B2C, 50% C2C; 3. Corporate New Auto: 60% LeaseCo, 35% RAC, 5% Direct Corp, 4. Corporate Used Auto: 90% RAC, 10% Direct Corp

Key insights

Greece shows **room for growth** in **term of retail car value financed**, with **financing** penetration **still lagging major EU markets** (**~25%** vs. ~80% in Europe)

- 33% penetration in New Auto (vs. 66% in Europe for passenger cars)
- 19% penetration in Used auto (vs. 39% in Europe for passenger cars)

Autoloan and **cash loan** are the **main financing options** (accounting for **~75%** of retail financing), with operating leasing accounting for **~25%** of total car value financed

Operational leasing is highly penetrated within the **Corporate segment** (**>85% of financing**); residual volumes financed through direct corporate autoloans

Greek auto finance market sizing | Yearly unit economics per car for different financing products

		Auto loan		Cash loan		Operating lease	
		New Auto	Used Auto	New Auto	Used Auto	New Auto	Used Auto
Contract specific features	Average loan amount	15,000€	9,500€		5,000€		
	Average rate	7.8%	11.7%		11.7%		
	Average cost of fund	3.9%	4.0%		4.0%		
	Average cost of risk[1]	80bps	90bps		90bps	30bps	
	Average contract duration	4.5 years			4.5 years	3.5 years	
Financing/ leasing RAR per car		~220€	~300€		~160€	~375€	~200€
Services RAR per car		-	-			~375€	~200€
UCS[3] RAR per car		-	-		-	~250€	~150€
Total RAR per car		~220€	~300€		~160€	~1,000€	~550€
Total RAR per contract		~980€	~1,360€		~720€	~3,500€	~1,925€

~50% less for financial lease

Auto loan and cash loan: = Avg. loan amount × (Avg. ROA − Avg. cost of fund − Avg. cost of risk) × Average contract duration ÷ 2

Assuming loan linear depreciation

Operating lease: = (Avg. financing / leasing + services + UCS margin) − Avg. CoR × Avg. contract duration

1. CoR adjusted to not account for one-time release of provisions in 2024 ; 2. Leasing and services ; 3. Used car sales

Greek auto finance market sizing | Revenue after risk per product and segment

PRELIMINARY

Deep-dive next

XX ERB current market share[2], %

Breakdown of 2024 revenue after risk (RAR) potential[1] per segment and product offering, M€

Product offer		Retail	Corporate	Total
Auto loan	New Auto	~24M€ (~36%)	<1M€ (-)	~25M€
	Used Auto	~28M€ (~17%)	<1M€ (-)	~29M€
Cash loan	New Auto	-	-	-
	Used Auto	~17M€ (~35%)	-	~17M€
Financial lease	New Auto	-	~9M€ (-)	~9M€
	Used Auto	-	-	-
Operating lease	New Auto	~17M€ (-)	~142M€ (-)	~160M€
	Used Auto	~1M€ (-)	-	~1M€
Total		~88M€ (~15%)	~152M€ (-)	~240M€

Key insights

Total revenue after risk potential of **~240M€**, with **~35%** contribution from Retail segment (**~90M€**) and **~65%** from Corporate segment (**~150M€**)

Retail RAR concentrated on **autoloans** and **cash loan** (**~80%**), with **equal distribution between New Auto and Used Auto**

Operating leasing is nascent (~**20%** of retail RAR) but rapidly growing, driven by rising demand for flexibility and bundled services

Corporate market predominantly driven by operational leasing via dealers (**>90%**)

1. For New (Used) Auto: Average loan amount of 15,000€ (8,500€), average interest margin of 4.9% (7.7%), average loan duration of 4.5y, full potential of 5y loan stock, linear depreciation; base leasing of 1,500€ (750€) for 3-year contract, additional 1,500€ (1,500€) for services, average lease duration of 3y, full potential of 3y leasing stock
2. CoR adjusted to not account for one-time release of provisions in 2024

Agenda

Greek auto finance market sizing

Retail auto finance product offerings

Retail auto finance | Product mix

Characteristics	Retail product offering: A Auto loan	B Balloon financing	C Financial lease	D Operational lease
Time horizon	**5 years** (60 months)	**4 years** (48 months)	**3 years** (36 months)	**3 years** (36 months)
Ownership	Ownership	Ownership	Option to buy the car at the end of the lease	No ownership
Car registration	End consumer	End consumer	End consumer	LeaseCo
Common services	No services included; insurance upselling	No services included; insurance upselling	No services included; services upselling	Varying degree of services (e.g., insurance, MRT)
Monthly installments/ payments	Same monthly installment across the whole period	Higher monthly installments at the beginning of the contract	Higher monthly installments at the beginning of the contract	Same monthly payment across the whole period
Final payment	n/a	**~30%** of the car value	**~50%** of the car value	n/a
Risk for product provider	Credit risk	Credit risk	Direct asset risk	Direct asset risk
Main addressable market	New Auto Used Auto	Used Auto	New Auto	Used Auto

Retail auto finance | Real-life example for client

Used Peugeot 3008 Hybrid 136 e-DCS6 GT (~26,980€), 48-month contract, 15,000km annual mileage

Retail product offering

Characteristics		A Auto loan	B Balloon financing	C Financial lease (LOA[3])	D Operational lease (LLD[4])
Monthly payment		~530€ per month	~489€ per month	~173€ per month	~360€ per month
First payment		~5,396€ (~20% of RV)	-	~9,443€ (~35% of RV)	~5,500€ (~20% of RV)
Terminal payment		-	~8,150€ (~30% of RV)	~14,839€ (~55% of RV)	-
Additional options[1] (total monthly rent)	**Extended warranty**	+27€ per month	+27€ per month	+27€ per month	included
	Maintenance[2]	+60€ per month	+60€ per month	+60€ per month	included
	Credit insurance	+20€ per month	+20€ per month	+20€ per month	included
Total with all options		~610€ per month	~569€ per month	~253€ per month	~360€ per month

Similar real-life examples for retail products in UK and Germany to follow

1. Delta vs. monthly rent ; 2. Includes extended warranty ; 3. “Location avec option d’achat” ; 4. “Location longue durée”

Source: Auto loan and financial lease: https://www.spoticar.fr/voitures-occasion/peugeot-3008-hybrid-136-e-dcs6-gt-loire-atlantique-reze-1203554622#characteristics-panel-heading Ballon financing: https://www.auto-empire.de/fr/service/calculateur-de-pret/, Operational lease: https://www.peugeot.fr/offres/nouveau-3008.html

Appendix

Greek auto finance market sizing | Approach and deliverables

Focus of the document

Objective

Assess the market potential for each value creation opportunity/ cell to estimate Eurobank value-at-stake and prioritize initiatives

Approach

- **Conduct a market scan using publicly available data and industry reports** (e.g., Greek Leasing Association, IOBE) to establish the initial fact base
- **Bridge gaps** in **missing data** through**:**
  - **Interviews with Eurobank key stakeholders** (e.g., external sales network, IB segment);
  - **External expert interviews** (e.g., McKinsey network, AlphaSights) – *Ongoing activity*
- **Validate revenue potential through sanity checks** using annual reports from banks and leasing companies, as well as Eurobank's known market share

Market sizing deliverables

i. **2024 car sold by segment** (i.e., retail, corporate) and **car type** (i.e., new vs. used)

ii. **2024 car market value financed** per segment and car type, with **split across financing products** (e.g., auto loan, operational lease) and **channels**

iii. **2024 RAR[1] pool** per **value creation opportunity**, with split by financing product, car type, customer segment and channel

iv. **2030 market size** and **RAR[1] pool** per **value creation opportunity**, with split by financing product, car type, customer segment and channel

1. Revenue after risk

Greek auto finance market sizing | Key principles

Focus on the end-consumer view of financing: for corporate customers, only consider the financing provided by LeasCO or RACs to final users, excluding the financing those providers receive from banks

Look at financing penetration both on number of cars sold and total market value: accounts for the typical share of car value that is financed (e.g., €15k financed on a €25k new car through an autoloan)

Consider RAR[1] per car, factoring in the average contract duration per product (e.g., 3.5 years for leasing): to translate yearly disbursements into outstanding balances

1. Revenue after risk